

26STCP02174 26STCP02174

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Case Number: 26STCP02174 Hearing Date: September 15, 2026 Dept: 512

HEARING DATE: Tues., September 15, 2026 JUDGE /DEPT: Mkrtchyan/512

CASE NAME: Datura

Capital, LLC v. Interested Parties PET. FILED: 06-09-26

CASE NUMBER: 26STCP02147

AM. PET. FILED: 08-03-26

NOTICE: OK

PROCEEDINGS: FIRST

AMENDED PETITION FOR APPROVAL OF TRANSFER OF STRUCTURED SETTLEMENT PAYMENT RIGHTS

MOVING PARTY: Petitioner Datura Capital, LLC

RESP. PARTY: None

PETITION FOR APPROVAL

OF TRANSFER OF STRUCTURED SETTLEMENT PAYMENT RIGHTS

(Ins. Code § 10139.5)

TENTATIVE RULING:

Petitioner Datura Capital, LLC's First Amended Petition for Approval of Transfer of Structured Settlement Payment Rights is GRANTED.

Moving party is ordered to give notice.

OPPOSITION: None

filed as of September 10, 2026 []

Late [X] None

REPLY: None

filed as of September 10, 2026 [] Late [X] None

ANALYSIS:

I.

Background

On June 9, 2026, Petitioner Datura Capital, LLC filed the instant Petition for Approval of Transfer of Structured Settlement Payment Rights (the "Petition") against Certain Statutorily Defined Interested Parties – here, Kylie Lefefe ("Payee").

On August 3, 2026, Petitioner filed and served a First Amended Petition on Respondents.

On August 3, 2026, Petitioner filed and served Notice of Hearing on the First Amended Petition.

On August 18, 2026, Petitioner filed a Notice of Payee Having Obtained Independent Professional Advice from an Attorney and from a Financial Advisor.

On August 25, 2026, the Court continued the hearing on the First Amended Petition to allow Petitioner to file and serve supplemental papers addressing the deficiencies noted by the Court. (8/25/26 Order.)

On August 26, 2026, Petitioner filed and served Notice of Continuance of the First Amended Petition.

That same day, Petitioner filed two supplemental declarations in support of the First Amended Petition.

No Opposition to the First Amended
Petition.

II.

Legal
Standard

“The California Legislature has
adopted the Structured Settlement Protection Act (SSPA) (§ 10134 et seq.) to
protect structured settlement payees from exploitation by factoring companies.”
(RSL Funding, LLC v. Alford (2015) 239 Cal.App.4th 741, 745.)

“The court-approval process requires
the factoring company to file a petition in the county in which the transferor
resides for approval of the transfer, attaching copies of the petition, the
transfer agreement, the disclosure form, the annuity contract, any qualified
assignment agreement and the structured settlement agreement, a list of the
names and ages of the transferor’s dependents, notice of the court hearing
date, and notice of a right to respond.” (321 Henderson Receivables
Origination LLC v. Sioteco (2009) 173 Cal.App.4th 1059, 1066
[citing Ins. Code, §10139.5(c)].)

“The California act...governing
transfers of structured settlement payment rights defines a
“[s]tructured settlement agreement” [as] an arrangement for periodic
payment of damages established by settlement or judgment in resolution of a
tort claim in which the payment of the judgment or award is paid in whole, or
in part, in periodic tax-free payments rather than a lump-sum payment.” (Matthews
v. Liberty Assignment Corp. (2016) 247 Cal.App.4th 71, 78.)

“Annuity issuers and structured
settlement obligors are defined as ‘interested parties’ under the SSPA (§
10134, subd. (g)), and as such, are entitled to notice of petitions to
authorize transfer of payments under a structured settlement agreement.” (RSL
Funding, LLC, supra, 239 Cal.App.4th at p. 745.)

Insurance Code section 10137 provides:

“A transfer of structured settlement payment rights is void unless a court
reviews and approves the transfer and finds the following conditions are met:
(a) [t]he transfer of the structured settlement payment rights is fair and

reasonable and in the best interest of the payee, taking into account the welfare and support of his or her dependents [; and] (b) [t]he transfer complies with the requirements of this article, will not contravene other applicable law, and the court has reviewed and approved the transfer as provided in Section 10139.5." (Ins. Code, § 10137.) The transfer agreement is effective only upon approval in a final court order. (Ins. Code, § 10139.5(a).)

Insurance Code section 10139.5(a)
requires the court to make the following findings:

The transfer is in the best
interest of the payee, taking into account the welfare and
support of the payee's dependents.

The payee has been advised
in writing by the transferee to seek independent professional
advice regarding the transfer and has either received that
advice or knowingly waived, in writing, the opportunity to receive the
advice.

The transferee
has complied with the notification requirements pursuant
to paragraph (2) of subdivision (f), the transferee has provided the
payee with a disclosure form that complies with Section 10136,
and the transfer agreement complies with Sections 10136 and
10138.

The transfer does not
contravene any applicable statute or the order of any court or other
government authority.

The payee understands the
terms of the transfer agreement, including the terms set forth
in the disclosure statement required by Section 10136.

The payee understands and
does not wish to exercise the payee's right to cancel the transfer
agreement.

(Ins. Code, § 10139.5(a).)

In addition, pursuant
to Insurance Code section 10139.5(c):

Every petition for approval of a
transfer of structured settlement payment rights, except as provided in
subdivision (d), shall include, to the extent known after the transferee has
made reasonable inquiry with the payee, all of the following:

The payee's name, address,
and age.

The payee's marital status,
and, if married or separated, the name of the payee's
spouse.

The names, ages, and place
or places of residence of the payee's minor children or other dependents,
if any.

The amounts and sources of
the payee's monthly income and financial resources and, if presently
married, the amounts and sources of the monthly income and financial
resources of the payee's spouse.

Whether the payee is
currently obligated under any child support or spousal support order, and,
if so, the names, addresses, and telephone numbers of any individual,
entity, or agency that is receiving child or spousal support from the
payee under that order or that has jurisdiction over the order or the
payments in question.

Information regarding previous transfers
or attempted transfers, as described in paragraph (11), (12), or (13) of
subdivision (b). The transferee or payee may choose to provide
this information by providing copies of pleadings, transaction documents,
or orders involving any previous attempted or completed transfer or by
providing the court a summary of available information regarding any
previous transfer or attempted transfer, such as the date of the transfer

or attempted transfer, the payments transferred or attempted to be transferred by the payee in the earlier transaction, the amount of money received by the payee in connection with the previous transaction, and generally the payee's reasons for pursuing or completing a previous transaction. The transferee's inability to provide the information required by this paragraph shall not preclude the court from approving the proposed transfer, if the court determines that the information is not available to the transferee after the transferee has made a reasonable effort to secure the information, including making an inquiry with the payee.

(Ins. Code §
10139.5(c).)

III.

Discussion

The Payee declaration states Payee agrees to transfer the following payments to Petitioner: (1) one lump sum payment of \$250,000.00 due on December 18, 2031; (2) one lump sum payment of \$500,000 due on December 18, 2036; and (3) one lump sum payment of \$1,154,663.00 due on December 18, 2041. (First Amended Petition, Payee Decl., ¶ 9, Exh. 2, Addendum.) The net amount paid to Payee would be \$550,002.24. (First Amended Petition, Payee Decl., ¶ 10, Exh. 2, Addendum.) If approved, the Payee – who is 19 years old, single, lives in California, has no dependents, is not currently employed, is a full-time college student, and has no court-ordered child support obligations – intends “to use this money to pay for college, a reliable vehicle, and for college housing.” (First Amended Petition, Payee Decl., ¶¶ 1-11.)

Following the Court's ruling on 8/25/26, Petitioner filed two supplemental declarations in support of the First Amended Petition as well as Notice of Continuance.

As an initial matter, the Court finds the supplemental declarations filed in support of the First Amended Petition addressed some of the Court's prior concerns. For instance, Payee's supplemental declaration describes how Payee became entitled to the structured settlement payments beyond the initial declaration's statement that the “original settlement was intended as compensation for injuries [Payee] sustained”. (First

Amended Petition, Payee Decl., ¶ 8.) Indeed, Payee further states that Payee “received the underlying settlement from hot water being spilled on [Payee] at Dennys when [Payee] was a baby. [Payee is] not affected by those injuries anymore.” (First Amended Petition, Supp. Payee Decl., ¶ 2.)

Additionally, the Payee provided further information regarding the prior transfer – namely: “With respect to the prior transfer, [Payee] sold 7 semi-annual payments of \$15,000 due July 1, 2026, through July 1, 2029, and \$100,000 due December 18, 2027. [Payee] used the funds to pay for school and to move into a new place because [Payee] was living with my grandma and my grandma was moving to an assisted living facility.” (First Amended Petition, Supp. Payee Decl., ¶ 3, Payee Decl., ¶ 12.) Further, Petitioner files a supplemental declaration demonstrating that the requisite notice was served by FedEx.

Thus, the First Amended Petition is GRANTED.

IV.

Conclusion

& Order

Based on the foregoing reasons, Petitioner Datura Capital, LLC's First Amended Petition for Approval of Transfer of Structured Settlement Payment Rights is GRANTED.

Moving party is ordered to give notice.